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Primary Auction Note – November 2020

In November, Central Bank of Kenya re-opened two fixed bonds **FXD2/2013/15-(7.52 years)** and **FXD1/2018/20-(17.4 years)** in a bid to raise **40 Billion**. The coupon rates for the bonds are 12.000% and 13.200% respectively. The period of sale for the bonds runs from **04/11/2020** to **17/11/2020**. The bonds attract a withholding tax of **10%** each.

Investors' focus remains on the short end of the yield curve: In the current market environment where concerns over the spread of corona virus remains high, interest rate uncertainty prevail, and liquidity is elevated, investors are likely to focus on the shorter end of the yield curve.

We advise investors to bid within the range of **11.05%** to **11.35%** and **12.95%** to **13.15%** for the FXD2/2013/15 and FXD1/2018/20 respectively as demand for the papers are likely to be elevated and CBK is likely to reject aggressive bids.

Secondary Bond Market:

In October, the secondary market activity decreased. Turnover in October, reversed downwards by 29% to KES 59.32Bn ($542.97Mn) from KES 83.51Bn ($ 787.89Mn) witnessed in September.

November 16, 2020

RECOMMENDATION:

7.5- Year FXD2/2013/15:

Bid 11.05% to 11.35%

17.4- Year FXD1/2018/20:

Bid 12.95% to 13.15%

Period of Sale: 04/11/2020 to 17/11/2020.

Sovereign Credit Rating:

Moody's: B1 (stable)
Fitch: B+ (stable)
S&P: B+ (stable)

CPI:
(2019=100):
109.60

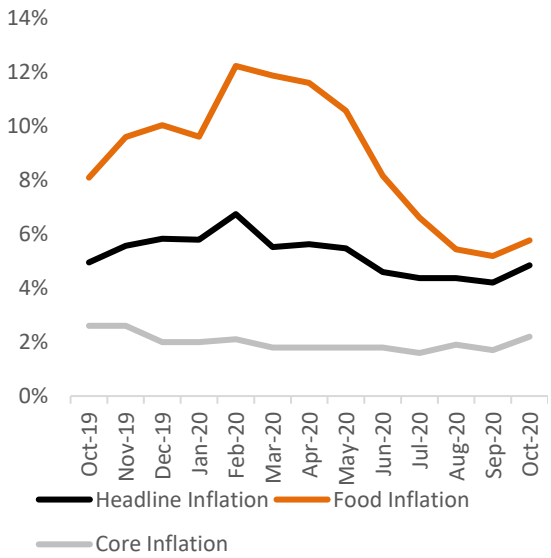
September Inflation:
4.84%

Interbank rate (13th October 2020):2.74%

C.B.R (29th September 20):
7.00%

Analyst
Sarah Wanga
+0725965555
wangas@aibcapital.com

October Inflation:



In October, Headline Inflation increased to **4.84%** from **4.20%** in September. The CPI increased by **0.95** from **108.57** in September to **109.60** in October. This increase occurred on the back of a rise in the housing, water, electricity, gas & other fuels and transport indices which increased by **0.94%** and **0.62%** respectively.

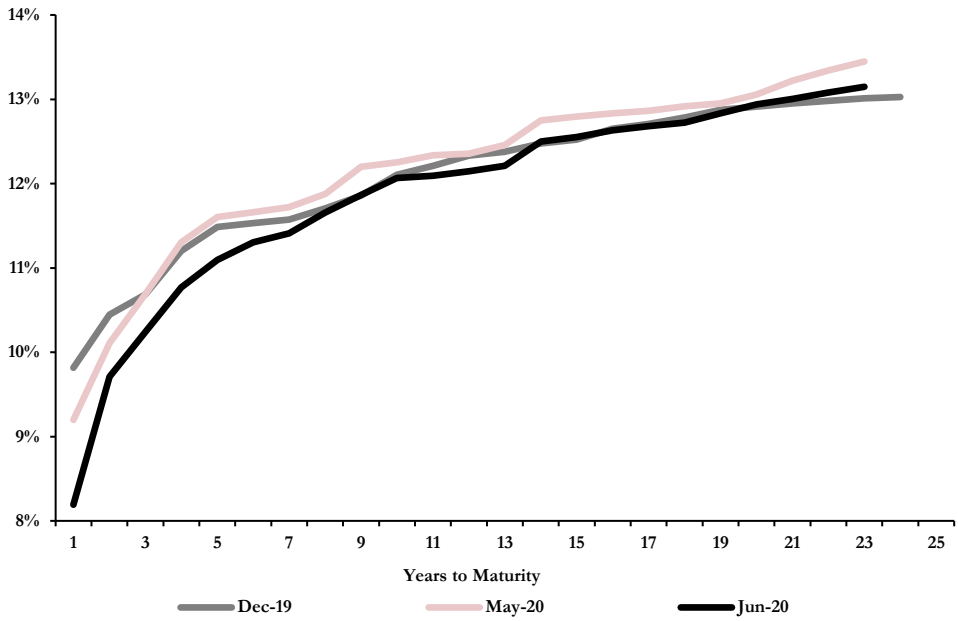
Headline inflation is likely to increase with the rise in food prices as food products carry a significant weighting in the inflation basket. Petrol prices have also been levelling up which could also lead to an increase in headline inflation.

Interbank

The money market remained relatively liquid during the month. The interbank steadily increased from 2.05% at 13th October to 2.74% as of the 13th of November.

Over the month, the CBK's Monetary Policy Committee (MPC) maintained the Central Bank Rate at 7.00% with the monetary authority noting that the rate is serving the purpose of cushioning Kenyans against the unprecedented fallout caused by the coronavirus outbreak.

NSE Yield Curve



In the month of October, interest rates were up compared to the previous month

Currency:

The Kenya Shilling (KES) depreciated against the greenback over the month of October as it lost **0.30%**. On the 30th of September, the KES closed at a value of KES **108.4971/$** versus the KES **108.8188/$** witnessed at the end of October. The depreciation of the Kenya shilling occurred even as the dollar weakened against global currencies. The KES depreciation may therefore be attributed to an increase in local demand for the dollar as economies reopen and importers gear up to resume business.

CBK's usable foreign exchange reserve decreased to **USD 8.14 million** from **USD 8.53 million** at the end of September, representing a decrease to **4.94 months** of import cover from **5.18 months** of import cover. The reserves are still sufficient as they remain above the statutory requirements of four months of import cover.

CONTACTS:

Research Desk

Sarah Wanga
Head of Research

Linda Kiraithe
Research Analyst

Email: research@aib-axysafrica.com

Equities Dealing

Bernard Kung'u

Benard Gichuru

Brian Tanui

Samuel Githinji

Sheema Shah

Samuel Wachira

Email: trading@aib-axysafrica.com

Bond Dealing

Crispus Otieno

Titus Marenye

Email: trading@aib-axysafrica.com

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